INDUSTRIAL COURT OF MALAYSIA

CASE NO: 16/4-2227/19

BETWEEN

SULAIMAN BIN GHAZALI

AND

RANHILL SAJ SDN. BHD.

AWARD NO: 1812 OF YEAR 2025

Before	**:**	**Y. A. TUAN TENGKU AMIR ZAKI BIN TENGKU ABDUL RAHMAN - CHAIRMAN (sitting alone)**
Venue	**:**	Industrial Court of Malaysia Johor Branch
Date of Reference	**:**	06.11.2019
Dates of Mention	**:**	23.12.2019; 20.01.2020 & 08.05.2024
Dates of Hearing	**:**	05.09.2022; 14.05.2023 & 29.11.2023
Representation	**:**	Mr. N. Mariappan From Messrs N. Mariappan & Associates Counsel for Claimant Mr. Muhammad Syafiq Amani bin Md Sabri From Messrs Mahadi Redzuan & Co. Counsel for Respondent

Reference:

The reference under Section 20(3) of the Industrial Relations Act 1967 by the Honourable Minister of Human Resources Malaysia, is regarding the dismissal of **Sulaiman bin Ghazali** ("the Claimant") by **Ranhill SAJ Sdn. Bhd.** ("the Company") on 17.06.2019.

AWARD

Brief Facts

1. The Claimant had commenced employment with SAJ Holdings Sdn Bhd effectively on 1.6.2011 as a Crew in the Pejabat Agensi, Mersing with a basic salary of RM670-00 monthly vide a letter of appointment dated 9.5.2011.

2. The Claimant was confirmed in his position on 1.3.2012. The Claimant had then been transferred to Jabatan Rangkaian, Mersing, Johor on 1.12.2016 with a last drawn salary of RM 1,463-00.

3. The Company had received a written complaint from its customer, by the name of Mariam Binti Mohamad on 15.12.2018, on the Claimant's conduct when he had without any authorization and/or lawful instruction from the Company, requested and took RM1, 000.00 from the customer on 26.9.2018 with a promise that the Claimant will

find a contractor who will do a water meter installation at the customer's house within one week. However, the Claimant had not carried out the water installation at the customer's house as promised. Puan Mariam's husband by the name of Abdul Rashid Bin Ahmad (COW-1) had thereafter lodged a police report on 15.12.2018 on a serious allegation of fraud when the Claimant had given many excuses when the customer had asked him to return the money and that the customer believed that he had been deceived by the Claimant.

4. The Company had issued a show cause letter dated 27.3.2019 to the Claimant. The allegations of wrongdoings, among others, was related to the Claimant's conduct when he had without any authorization and lawful orders from the Company, requested and took RM1, 000.00 from the customer to do water meter installation despite the fact that it was not within his job scope and duties to do the water meter installation let alone to wrongly take the money directly from the customer.

5. The Claimant had replied to the show cause vide his reply letter dated 4.4.2019 wherein the Claimant had admitted and pleaded guilty to the charges. The Claimant had also asked for the Company's considerations to forgive him.

6. Dissatisfied with the Claimant's response, the Company had issued a notice of domestic inquiry dated 13.5.2019 to the Claimant. The Claimant was charged with three charges:-

Charge 1: The Claimant was being dishonest when he had requested and took money of RM1, 000.00 from the customer despite the fact that he was fully aware that ii was not within his job scope and/or duties to directly engage with the customer for any water meter installation and also to directly engage with any contractor to and/or help in any works that related for water meter installation.

Charge 2: In doing so, the Claimant had conducted himself in a way inconsistent with the faithful discharge of his service and that he had placed himself in position where his interest conflicts with his duties when he had without any authorization and/or lawful instruction from the Company, taken the money from the customer and/or directly engaged with third party for the water meter installation.

Charge 3: As a result, the Claimant had tarnished the Company's image and reputation when the customer had made a written complaint to the Company about the issue where the customer had made a serious allegation that he was deceived by the Company's employee.

7. The panels had concluded in their written findings that the Climant was found guilty for all charges and had recommended for punishment of dismissal. In view of the seriousness of the Claimant's misconduct, the Company's management had decided to impose a punishment of dismissal to the Claimant effectively 17.6.2019.

8. The Claimant had given his appeal letter dated 26.6.2019. After a due deliberation, the Company maintained its decisions to dismiss the Claimant on 17.6.2019.

The Company's Case

Charge 1

9. The Claimant had admitted during the domestic inquiry that he had met and took the money from the customer on 27.9.2018. During cross-examination, the Claimant had admitted that he received RM1, 000.00 from En. Abdul Rashid (COW-1).

10. During the cross-examination, the Claimant also had never denied that he had accepted the money of RM1, 000.00 from the customer where at the time of the receipt of the money, he was aware that he cannot accept/receive money from customer.

11. The Claimant has full knowledge that it was not within his job scope and/or duties as Crew to recommend contractor and plumber and/or to introduce contractor and plumber as what he did on this case. The Claimant admitted during his cross examination that it was not within his job scope and/or duties as Crew to recommend contractor and plumber and/or to introduce contractor and plumber as what he did on this case.

12. The Claimant had admitted during domestic inquiry that he gave the money to Azmi bin Mahmood who the Claimant claimed to be a licensed contractor/plumber for the purpose of the water meter installation. However, the Claimant failed to bring any witnesses to support his contention.

13. The Claimant's conduct contradicts and goes against his job description where it was never his assigned duties to arrange and/or to help and/or to directly engage with the customer for any water meter installation. There was also no instruction which had been given by his superiors to do the water meter installation let alone to request and/or take any money from the customer.

15. The Company submit that they had successfully proved that the Claimant was being dishonest when he had requested and took money of RM1, 000.00 from the customer despite the fact that he was fully aware that it was not within his job scope and/or duties to directly

engage with the customer for any water meter installation and also to directly engage with any contractor to and/or help in any works that related for water meter installation.

Charge 2

16. The Claimant had admitted during his cross-examination that in his Letter of Appointment, he has to conduct himself in a way consistent with the faithful discharge of his service and that he has to place himself in position where his interest do not conflicts with his duties

17. The Claimant had also admitted during cross examination that the Company vide Clause 21 of the Appointment Letter had reminded him to avoid himself from involving in activities that in breach and deem to breach the SAJ Holdings Sdn Bhd.

18. The Claimant was well aware that any customer should have registered their application for water meter installation at the Company's customer service centre and not through the staff personally. The Claimant therefore had acted in conflict of interest as an employee of the Company and also abused his position in taking the money in his personal capacity and/or benefit without the

Company's knowledge. This category of misconduct had been clearly stated in the Company's Manual Human Resources Management at Clause 31.0, Item 4 (i)(a).

19. The Company had successfully proved that the Claimant had conducted himself in a way inconsistent with the faithful discharge of his service and that he had placed himself in position where his interest conflicts with his duties when he had without any authorization and/or lawful instructions from the Company, taken the money from the customer and/or directly engaged with third party for the water meter installation.

Charge 3

20. The customer had lodged a police report as the Claimant had given many excuses when he was asked to return the money. Due to the Claimant's conduct, it had caused the customer to lose the trust and confidence in the Company being an integrated water supply company involved in the process of water treatment and distribution of treated water to customers/clients right up to billing, collection and installation.

The Claimant's Case

21. The Claimant consistently maintain throughout the case that he admits receiving the money from the COW 1 as a middleman to give it to the contractor. The Claimant is a sincere, kind and helpful person. His action shows that he is an honest person. The water meter stand was almost ready. The Claimant even return the deposit, money to COW1 when requested. There was no malicious intent by the Claimant to cheat COW1. The Claimant's action does not in any way bring disrepute to the Company. The Claimant should not be dismissed instead, a warning should have been given.

22. The charges against the Claimant is doubtful and evidence produce by the Company do not support the charges against the Claimant because:-

1) Mariam who is the customer of the Company who made a report to the Company was not called as a witness during the domestic inquiry as well as the hearing in court;
2) COW 1 is the one who approach the Claimant to look for a contractor to do the water connection to COW 1 house; and

3) COW 1 had retracted the police report the same day it was made on 15.12.2018

23. The evidence of COW 4 was highly suspicious for not remembering whether a statutory declaration dated 23.05.2019 was produced during the domestic inquiry when he was cross examined but the Domestic Inquiry note shows that COW4 did said in the panel's decision that the said statutory declaration dated 23.05.2019 was suspicious.

24. The findings of the Panel at DI were full of flaws as follow:-

i. The identity of the customer of Ranhill SAJ Sdn. Bhd. and the issue of who handed over the said money was not clear and precise.

ii. No plausible reasons given for the findings.

iii. Misconduct not proven conclusively.

iv. The claimant was not given a right and an opportunity to call his important witness Azmi bin Mahmood, the contractor although requested by the Claimant at the Inquiry (DI).

v. The panel failed to take into account the Statutory Declaration dated 23.05.2019 made by claimant's

witness Azmi bin Mahmood although it was submitted by the claimant at the Inquiry (DI).

vi. The withdrawal of the earlier police report done voluntarily without any force by anyone lodged by Abdul Rashid bin Ahmad on the same date i.e 15.12.2018.

The Domestic Inquiry (DI)

25. The Company had on 26.05.2018 conducted a DI against the Claimant. The Industrial Court is required at the onset to examine the notes of the DI and verify whether the DI was valid, whether the notes were accurate and whether a prima facie case has been made out against the Claimant **(Bumiputra Commerce Bank Bhd v. Mahkamah Perusahaan Malaysia & Anor [2004] 7 CLJ 77).**

> "The Industrial Court's jurisdiction, in instances where a domestic inquiry has been held, was limited to considering whether there was a prima facie case against an employee. Thus, in the present case, the Industrial Court should have first considered whether or not the domestic inquiry was valid and the notes accurate. In the absence of such considerations, the Industrial Court's action in proceeding to decide the matter without any regard to the

notes of inquiry could not be described as anything more than an error of law."

26. The Claimant had contended that the DI was conducted in breach of the rules of Natural Justice. This court refers to the case of **Kahan Singh v. Air Asia Berhad [2015] 2 LNS 1303 (Award No. 1303 of 2015)** where the followings were stated:

"In evaluating the process of the DI, I am minded that the decision making process must comply with the basic principle of Natural Justice. The principle of Natural Justice composed 2 pillars which has been explained by the Privy Council in **B Surinder Singh Kanda v. Government of Federation of Malaya [1962] MLJ 169** as:

1) The rule of hearing or **principle of audi alteram partem meaning that no one is to be condemned unheard.**

2) The **rule against** bias; or nemo judex in causa sua meaning no one should be a judge in his own cause...”

27. The concept stated in the case of **Skypak International (M) Sdn Bhd v. Foong Kah Tin [1987] 1 ILR 495 (Award No. 161 of 1987)** is also being referred to by this court, where the followings were stated;

“the principles of natural justice in the context of an industrial disciplinary inquiry may be stated to be as follows:

(a) That the workman whose conduct or misconduct is being inquired into must have a reasonable notice of the case he has to meet.

(b) That he must have reasonable opportunity of being heard in his own defence according to the maxim 'audi partem alteram', and this includes, inter alia, the opportunity to face and challenge his accusers, witnesses, and whatever evidence there is

against him.

(c) That the hearing must be by an impartial tribunal, i.e. a person who is neither directly nor indirectly the party to the case: 'nemo debet esse judex in propria causa', that is to say, no man shall sit in judgment in his own cause or that in which he has an interest."

28. The Claimant's contention is that he was not given a fair and reasonable opportunity to be heard at the domestic inquiry for the following reasons:

i. The identity of the customer of Ranhill SAJ Sdn. Bhd. and the issue of who handed over the said money was not clear and precise.

ii. No plausible reasons given for the findings.

iii. Misconduct not proven conclusively.

iv. The claimant was not given a right and an opportunity to call his important witness Azmi bin Mahmood, the contractor although requested by the Claimant at the Inquiry (DI).

v. The panel failed to take into account the Statutory Declaration dated 23.05.2019 made by claimant's

witness Azmi bin Mahmood although it was submitted by the claimant at the Inquiry (DI).

vi. The withdrawal of the earlier police report done voluntarily without any force by anyone lodged by Abdul Rashid bin Ahmad on the same date i.e 15.12.2018

29. The court is also guided by the principles enunciated in the case of **Hong Leong Equipment Sdn. Bhd. v. Liew Fook Chuan & Other Appeals [1997] 1 CLJ 665**; where Gopal Sri Ram JCA as he then was said the following:

> "The fact that an employer has conducted a domestic inquiry against his workman is, in my judgment, an entirely irrelevant consideration to the issue whether the latter had been dismissed without just cause or excuse. The findings of a domestic inquiry are not binding upon the Industrial Court which rehears the matter afresh. "

The Issues

30. Based on both the parties' case as stated above, it is apparent that the two (2) questions which the court has to ask are:

(i) was there a dismissal; and

(ii) if the answer to (i) is in the affirmative, was the dismissal with or without just cause or excuse.

31. As stated in the case of **Wong Chee Hong v Cathay Organisation (M) Sdn. Bhd. [1988] 1 CLJ 45; [1988] 1 CLJ (Rep) 298** by the then Supreme Court as follows:

> "When the Industrial Court is dealing with a reference under S 20, the first thing that the court will have to do is to ask itself a question whether there was a dismissal, and if so, whether it was with or without just cause or excuse."

32. In this case, the fact of dismissal is not disputed. Therefore, the only issue which is left to be deliberated before the court is whether the dismissal of the Claimant by the Company was with just cause or excuse.

33. Having established that there is a dismissal, the court refers to the principles established in the Federal Court case of **Wong Yuen Hock v Syarikat Hong Leong Assurance Sdn. Bhd. & Anor [1995] CLJ 344**

where it was held that: -

> "On the authorities, we were of the view that the main and only function of the Industrial Court is dealing with a reference under section 20 of the Act (unless otherwise lawfully provided by the terms of the reference), is to determine whether the misconduct or irregularities complained of by the Management as the grounds of dismissal were in fact committed by the workman, and if so, whether such grounds constitute just cause or excuse for the dismissal."

34. Based on the foregoing paragraphs 37 to 40 hereinabove, the court has a duty to consider the followings: -

i. Whether the Claimant is guilty of the allegations of misconduct levelled against him by the Company; and

ii. If the allegations of misconduct had been proven by the Company against the Claimant, whether that misconduct is serious enough to warrant a dismissal

of the Claimant by the Company.

The Law

35. In the case of **Shell Malaysia Trading Co. Sdn Bhd v. National Union of Petroleum & Chemical Industry Workers [1986] 1 ILR 677**, the Industrial Court stated that:

> "The company cited various authorities from Soonavala's The Supreme Court on Industrial Law (1979 Edition) .... But one authority relied on by the company goes on to add:
>
> It is for the management to determine whether the act of the workman constitutes misconduct and whether it merits an order of dismissal. However, in determining whether there has been such misconduct, it must have facts upon which to base its conclusions and it must act in good faith without caprice or discrimination and without motive of victimization or intimidation or resorting to unfair labour practice and there must be no infraction of the accepted

rules of natural justice. When management does have facts from, which it can conclude misconduct, its judgement cannot be questioned provided the above mentioned principles are not violated."

36. In the case of **Ireka Construction Berhad v Chantiravathan Subramaniam James [1995] 2 ILR 11 (Award No. 245 of 1995)** the following was stated:

"It is a basic principle of industrial jurisprudence that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer to prove that he has just cause and excuse for taking the decision to impose the disciplinary measure of dismissal upon the employee. The just cause must be, either a misconduct, negligence or poor performance based on the facts of the case."

37. Having the burden of proving, the standard in which the employer must prove that the act of terminating the employee was carried out with just cause or excuse is on a balance of probabilities (as established in the case of **Telekom Malaysia Kawasan Utara v Krishnan Kutty Sanguni Nair & Anor [2002] 3 CLJ 314)**

38. Section 30(5) of the Industrial Relations Act 1967 (Act 1977) requires the court to decide a case in accordance with equity and good conscience, as such, Gopal Sri Ram JCA in his decision in the case of **Harris Solid States (M) Sdn Bhd & Ors v Bruno Gentil Pereira & Ors (1996) 4 CLJ 747 CA** had stated that it is incumbent upon the court to have regard to substantial merits of the case rather than to technicalities.

Evaluation and Findings

39. It is trite that the Claimant is not the one who must prove that he was not guilty of misconduct [see the case of **Stamford Executive Centre v Dharsini Ganesan [1986] 1 ILR 101 (Award No. 263 of 1985)]. ** That burden is cast squarely upon the Company.

40. The Company had dismissed the Claimant as he was found guilty of Charge no. 1, Charge no. 2 and Charge no. 3 as stated in the

Company's letter of dismissal dated 18.05.2018.

41. Be that as it may, the Claimant had admitted: -

a. The Claimant had admitted during his cross examination that he had never stated that the contents of the show cause letter at page 20 COB were incorrect;

b. The Claimant had admitted during his cross examination that he had never stated in his reply letter at page 22 COB that the contents of the show cause letter at page 20 COB were inaccurate/incorrect;

c. The Claimant had admitted during his cross examination that he had never stated in his reply letter at page 22 COB that he was not guilty of the charges;

d. The Claimant had admitted that he had attended the domestic inquiry and defense himself;

e. The Claimant had admitted during his cross examination that he understood the charges read to him during the domestic inquiry;

f. The Claimant had admitted during his cross examination that it was not within his job scope and/or duties as Crew to recommend contractor and plumber and/or to introduce contractor and plumber as what he did on this case;

g. The Claimant had admitted during his cross examination that the water meter installation can only be done by contractor or plumber who have license with the Company and he knew that CLW-2 and Nordin have no license with the Company; and

h. The Claimant had admitted during his cross examination that the impact of the police report made by COW- 1 had tarnished the Company's image.

42. However, what needs to be proven on a balance of probabilities (as determined in the case of **Sinnaiyah & Sons Sdn. Bhd v Damai Setia Sdn Bhd [2015] 7 CLJ 584**) is the allegation of misconduct levelled against the Claimant. In the case of **Konnas Maritime Services Sdn Bhd v Adi Negara Kamaruddin [2004] 8 CLJ 369**, Faiza Thamby Chik J had stated the following:

> "…that the reason for the dismissal of an employee is grounded on a set of facts known to the employer or a set of beliefs held by him at the time of dismissal. Such a test is measured against a standard of proof on a balance of probabilities. Here the court is faced with civil proceedings, the standard applicable is on a balance of probabilities…"

43. The foregoing proposition in law was enunciated in the case of **Ferodo Ltd v Barnes (EAT) [1976] ICR 439** where His Lordship Kilner Brown J held at p. 440:

> "The question which falls to be decided in circumstances such as these is not whether or not the alleged offence is proved but whether or not the employers after careful investigation, and after

adopting the appropriate procedures enshrined in the Code of Practice, came to a reasonable decision that dismissal must follow."

His Lordship went on further to state at p. 441:

"... the law is quite plain and that what the industrial tribunal ought to do is, not ask itself the question which this tribunal did - "Are we satisfied that the offence was committed?" - but to ask itself the question, "Are we satisfied that the employers had, at the time of the dismissal, reasonable grounds for believing that the offence put against the employee was in fact committed?"

44. Based on the foregoing, Charge 1, Charge 2 and Charge 3 has been made out and the Claimant is guilty of misconduct.

45. Since misconduct has been proven via all the Charges, the question that arises now is whether this misconduct warrants a dismissal of the Claimant. It is the court's view that the Claimant by his action had failed to safeguard the trust and confidence entrusted upon him by the Company.

46. B.R. Ghaiye in **Misconduct in Employment Chapter XIX at page 650** states:

> "The relation between an employer and an employee is of a fiduciary character. The word "fiduciary" means belonging to trust or trusteeship. It means that whenever an employer engages a worker, he puts trust that the worker will faithfully discharge the service and protect and further the interest of the employer."

47. In **Pearce v Foster [1886] (vol XV11) QBD 536 the Queen's Bench Division** it was held as follows:

> "The rule of law is that where a person has entered into the position of servant, if he does anything incompatible with the due or faithful discharge of his duty to his master, the latter has a right to dismiss him. The relation of master and servant implies necessarily that the servant shall be in a position to perform his duty duly and faithfully, and if by his own act he prevents himself from doing so, the master may dismiss him.

And Lopes LJ in the same case at page 542 stated as follows:

> "If a servant conducts himself in a way inconsistent with the faithful discharge of his duty in the service, it is misconduct which justifies immediate dismissal."

48. Therefore, by a careful assessment of the evidence taken as a whole, grounded upon equity, good conscience and the substantial merits of this case pursuant to Section 30(5) of the Industrial Relations Act 1967, it is the finding of the court that the Company has established, on a balance of probabilities, the appropriateness of the Company's action against the Claimant. In the circumstances of this case, it is the considered view of the court that it is unreasonable to expect the Company to have continued the Claimant's employment. The Claimant's claim is hereby dismissed.

HANDED DOWN AND DATED THIS 26th DAY OF NOVEMBER 2025.

-SIGNED-

(TENGKU AMIR ZAKI BIN TENGKU ABDUL RAHMAN)
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
JOHOR